CHAPTER 3 – RISK ASSESSMENT & INTERNAL CONTROL

1. AUDIT RISK

Meaning	Risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated.
Consideration	Audit Risk need to be considered at Overall Level as well as at the level of Individual account balance or classes of transactions

Components

	Meaning	Factors to be considered
Inherent	Susceptibility of an account balance or class of transaction to a material misstatement, assuming that there are no internal controls.	• Experience on prior audits. • Controls established by Mngt. • Significant changes from last assessment.

	Meaning	Steps in Assessment of Control Risk
Control	Risk that material misstatements will not be prevented or detected and corrected on a timely basis by the internal control system.	1. Preliminary assessment of control risk. 2. Documentation understanding & assessment of control risk. 3. Performing Tests of Controls 4. Final Assessment of Control Risk.

Detection

- Risk that the substantive procedures performed by auditor fails to detect material misstatements.
- Some detection risk would always be present even if an auditor was to examine 100% of the account balance or class of transactions.

Relationships

IR & CR

- IR and CR are highly interrelated as in many cases management reacts to IR by designing accounting and internal control systems to prevent or detect and correct misstatements.
- As a result, auditor needs to make a combined assessment of IR & CR as RMM.

RMM & R

- Inverse relationship between RMM and DR.
- When RMM is high, DR needs to be low to reduce audit risk to an acceptable low level.
- When RMM is low, auditor can accept a higher DR.
- Mathematically AR = IR X CR X DR

Risk Based Audit

Meaning	Stages
An audit Approach that 1. Analyses Audit Risks, 2. Set materiality thresholds based on audit risk analysis and 3. develop audit programmes that allocates a larger portion of resources to high risk areas.	1. Understanding the auditee operations. 2. Determination of residual Risk 3. Manage residual Risk. 4. Reporting to Auditee.

2. INTERNAL CONTROL

Definition

The process designed, implemented and maintained, by TCWG and Management, to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, and compliance with applicable laws and regulations.

Control Objectives of Accounting Control System

1. Whether all transactions are recorded;
2. Whether recorded transactions are real;
3. Whether all recorded transactions are properly valued;
4. Whether all transactions are recorded timely; properly posted;
5. Whether all transactions are properly classified summarized & disclosed.

Methods of Collecting info to review I.C.

Narrative Records	Complete and exhaustive description of system as found in the operation by the auditor
Check List	Series of instructions and/or questions which a member of auditing staff must follow.
IC Questionnaire	Set of Questions designed to provide a thorough view of state of I.C.

Flow Chart

- Graphic presentation of I.C. of various sections in form of a diagram full with lines & Symbols.
- Provide most concise and comprehensive way to review I.C.
- Provide a neat visual picture of various activities involving flow of documents through various stages, authorizations required, filing of documents, final disposal .

Surprise check in Internal Control

- Useful method to determine whether errors exist and where they exist
- ICAI Recommendation – Surprise checks should form part of normal audit.
- Surprise check should be made at least once in the course of an audit.

Letter of weakness

- Weaknesses in I.C. identified during the audit should be communicated to mngt & TCWG.
- Helps TCWG to improve the systems.
- Must indicate that evaluation of I.C. is done to determine NTE of further audit procedures.

3. INTERNAL CHECK

Meaning

Checks on day to day transactions, which operate continuously as a part of routine system, whereby work of one person is proved independently to work of another, the object being prevention and earlier detection of error or fraud.

Objectives

- To detect fraud and error with ease.
- Avoid & minimize possibility of occurrence of fraud & error.
- Increase efficiency of staff.
- Protect integrity of business.
- Prevent misappropriation of cash & falsification of accounts.

Consider-ations

- No single person should have an Independent Control.
- Duties of staff members should be changed from time to time.
- Every member should be encouraged to go on leave atleast once.
- Persons having physical custody of assets must not be allowed access to books of accounts.
- Implement Budgetary control procedures.
- Judicious distribution of financial and administrative powers.
- Procedures should be laid down for physical verification.
- Accounting procedures should be reviewed periodically.

SA 300 (Revised) – Planning in an audit of Financial Statements

Importance of Planning

1. To devote appropriate attention to important areas.
2. Identify and Resolve potential problems on timely basis.
3. Properly organized & managed Audit.
4. Assists selection of ET members with requisite capabilities and competence.
5. Co-ordination of work done by auditors of components and experts.
6. Facilitating direction and supervision of Engagement team.

Preliminary Engagement Activities

(a) Procedures required by SA -220 w.r.t. continuous of Client relationship.

(b) Evaluate compliance with Ethical Requirements (SA-220)

(c) Understanding of terms of Engagement (SA-210)

Planning – A Continuous Process

Planning is not a discrete phase of an audit but rather a continuous process. It begins shortly after completion of previous audit & continues until completion of current audit engagement. It includes consideration of timing of certain activities & audit procedures that need to be completed prior to performance of further audit procedures. E.g., planning includes the need to consider, prior to the auditor's identification and assessment of the RMM, such matters as:

1. The analytical procedures to be applied as risk assessment procedures.
2. Obtaining a general understanding of the legal and regulatory framework.
3. The determination of materiality.
4. The involvement of experts.
5. The performance of other risk assessment procedures.

Planning Activities

Establishment of Audit Strategy

so as to set the scope, timing & direction of the audit

Factors to be considered

- Characteristics of Engagement.
- Reporting Objectives.
- Significant factors to direct ET efforts.
- Result of Preliminary Engagement Activities.
- NTE of Procedures to be performed.

Development of Audit Plan.

- NTE of RAP (SA-315)
- NTE of furthers Audit Procedures (SA-330)
- Other Planned Audit Procedure.

CHANGES TO PLANNING DECISIONS

- Auditor shall update & change overall audit strategy and audit plan as necessary during the course of the audit.
- Audit Strategy and Audit Plan may need to be modified as a result of unexpected events, changes in conditions, or the audit evidence obtained from the results of audit procedures.
- Based on the revised consideration of assessed risks, auditor need to modify the NTE of further audit procedures. This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures.

SA 315 (Revised) – Identifying and Assessing the Risk of Material Misstatements through understanding the Entity and Its Environment.

Risk Assessment Procedures

- Procedures to obtain an **understanding of entity & its environment** including I.C.
- To **Identify and assess the RMM at F.S. and Assertion Level.**

It Includes
a. Inquiry of mngt. & others
b. Analytical Procedures
c. Observation & Inspection

Understanding of Entity & its Environment

Auditor shall obtain understanding of:

1. Relevant Industry, Regulatory & other External Factors including FRF.
2. Nature of Entity including.
   - Its Operations
   - Ownership & Governance structure
   - Types of investments
   - The way Entity is structured & how it is financed
3. Selection & Application of Accounting Policies & reasons for changes thereto.
4. Entity objectives & Strategies & those business risks that may result in increase RMM.
5. Measurement & review of Financial Performance.
6. Internal control relevant to audit.

Risk in CIS Environment

Risk imposed by IT/CIS

- Reliance on programs that process inaccurate data or do inaccurate processing.
- Unauthorized access to data that may result in destruction of data.
- Unauthorized changes to data in Master files.
- Unauthorized changes to systems.
- Failure to make necessary changes.
- Potential loss of data
- Inability to access data as required.

Areas to be examined

- Program Development & Maintenance.
- System Software Support.
- Operations Including processing of data.
- Physical CIS security.
- Control over access to specialized CIS utility programs.

1. Control Environment
- Communication of Ethical values.

2. Risk Assessment Process
- Identify Business Risk
- Estimating significant Risks
- Assessing Likelihood of occurrence.
- Deciding response

3. **Information System relevant to FR**:
- Classes of transactions
- Accounting procedures
- Accounting records
- Financial Reporting Process.
- Controls over journal entries

4. Control Activities relevant to Audit
- Information processes
- Segregation of duties.
- Physical controls
- Performance Reviews

5. Monitoring of Controls
- Assess effectiveness of I.C. Performance.

Identification and Assessment of RMM

a) **F.S. Level**: RMM that relate pervasively to the F.S. as a whole and potentially affect many assertions.

b) **Assertion level for classes of Transaction, Account Balances & disclosures**: It helps in determining the NTE of further audit procedures necessary to obtain SAAE.

Assertions evaluated

Transaction occurred during the year	• Occurrence • Completeness • Accuracy • Cut-Off • Classification
Account balances at period end	• Existence • Rights & Obligations • Completeness • Valuation & Disclosure
Presentation & Disclosures	• Occurrence • Completeness • Classification • Accuracy & Valuation

Steps in Risk Assessment Process:

- Identify risks
- Assess & Evaluate the identified risks.
- Relate identified risk to what go wrong at assertion level.
- Likelihood of misstatement.

Risk require special consideration

1. Risk of fraud
2. Risk related to recent significant Economic, Accounting & other Developments.
3. Complexity of Transactions.
4. Transactions with Related Parties
5. Significant Unusual Transaction

SA 320 (Revised) "Materiality in Planning and Performing an Audit"

Concept of Materiality

Materiality is a subject of professional judgment and discussion presented in FRF provides a reference to the auditor in determining materiality.

If FRF does not include a discussion, following can be referred:

(a) Misstatements including omissions expected to influence the economic decision of users.

(b) Size or nature of misstatement & the surrounding circumstances.

(c) Common financial information needs of the users as a group.

Judgment of materiality provides a basis for:

(a) Determination of NTE of RAP

(b) Identifying and assessing RMM.

(c) NTE of further audit procedures.

Performance Materiality

- The amount set by auditor at
- less than materiality for F.S as a whole
- to reduce to an appropriately low level
- the probability that the aggregate of the uncorrected & undetected misstatement
- exceeds materiality for F. S. as a whole

Auditor's Duties

(a) Upon establishing the overall audit strategy, the auditor shall determine the materiality for the F. S. as a whole.

(b) Determine the materiality level for specific transactions for which misstatements of lower amount be expected to influence the economic decisions of users.

(c) Determine performance materiality for purpose of assessing the RMM and determining the NTE of further audit procedures.

Revision of Materiality

- In event of becoming aware of information that would have caused auditor to have determined a different amount initially, auditor shall revise materiality for the F.S. as a whole & if required, for particular classes of transactions, account balances or disclosures.
- If the auditor concludes that a lower materiality than that initially determined is appropriate, the auditor shall determine whether it is necessary to revise performance materiality, and whether the NTE of the further audit procedures remain appropriate.

Use of benchmark in determining Materiality

A %age is often applied to a chosen benchmark as a starting point in determining materiality for the F.S. as a whole.

Factors affecting identification of appropriate benchmark

1. The elements of the financial statements;
2. Items on which the attention of the users of the particular entity's financial statements tends to be focused;
3. The nature of the entity, where the entity is at in its life cycle, and the industry and economic environment in which the entity operates;
4. The entity's ownership structure and the way it is financed; and
5. The relative volatility of the benchmark.

SA – 330 "Responses to Assessed Risks"

Objective: To obtain Sufficient and Appropriate Audit Evidence about Assessed Risk of Material Misstatement through design and implementing Appropriate Responses

Tests of Controls

Procedures designed to evaluate the operating effectiveness of controls in preventing, detecting or correcting material misstatements at assertion level.

Obtain audit evidences w.r.t. (a) Application of controls (b) Consistency of application (c) By whom & by what means they applied

Evaluate the audit evidences

Material weaknesses identified

Communicate to Mngt. & TCWG – on timely basis

Special Considerations

Using Audit Evidence obtained in Interim Period:

- Obtain audit Evidence for significant changes subsequent to Interim Period.
- Determine the additional Evidence to be obtain for remaining period.

Using Audit Evidence obtained during previous audits: Establish Continuing relevance of that evidence by determining significant changes subsequent to previous audit

- Changes occurs: Test the controls in current audit
- No Change Occurs: Test the controls once in three audits

Factors warranting re-test of controls

1. Deficient control environment.
2. Deficient monitoring of controls.
3. Significant manual element to relevant controls.
4. Personnel changes that significantly affect the application of control.
5. Changing circumstances that indicate the need for changes in the control.
6. Deficient general IT-controls.

Substantive Procedures

Procedures designed to detect material misstatements at assertion level.

It comprises of:

a) Test of details (of classes of transactions, Account Balances and Disclosures); &

b) Substantive Analytical Procedures

External Confirmation (EC) procedures as substantive procedures	Auditor shall consider whether EC procedures are to be performed as substantive audit procedures. Factors that may assist the auditor are: 1. Confirming party knowledge of Subject Matter. 2. Ability or Willingness of intended confirming part to respond. 3. Objectivity of Intending Party.
Closing Process	• Reconciling F.S. with underlying accounting records. • Examine Material Journal Entries & other adjustments made during the course of preparing the F.S.
Significant Risks	Procedures that are specifically responsive to that risk needs to be applied

Timing: When Substantive procedures are applied for interim period, the auditor shall cover remaining period by appropriate procedures